actual coins and notes.[2] If all of the account holders at Barclays Bank suddenly demand their money, Barclays will promptly collapse (unless the government steps in to save it). The same is true of Lloyds, Deutsche Bank, Citibank, and all other banks in the world.

It sounds like a giant Ponzi scheme, doesn't it? But if it's a fraud, then the entire modern economy is a fraud. The fact is, it's not a deception, but rather a tribute to the amazing abilities of the human imagination. What enables banks – and the entire economy – to survive and flourish is our trust in the future. This trust is the sole backing for most of the money in the world.

In the bakery example, the discrepancy between the contractor's account statement and the amount of money actually in the bank is Mrs McDoughnut's bakery. Mr Greedy has put the bank's money into the asset, trusting that one day it would be profitable. The bakery hasn't baked a loaf of bread yet, but McDoughnut and Greedy anticipate that a year hence it will be selling thousands of loaves, rolls, cakes and cookies each day, at a handsome profit. Mrs McDoughnut will then be able to repay her loan, with interest. If at that point Mr Stone decides to withdraw his savings, Greedy will be able to come up with the cash. The entire enterprise is thus founded on trust in an imaginary future – the trust that the entrepreneur and the banker have in the bakery of their dreams, along with the contractor's trust in the future solvency of the bank.

We've already seen that money is an astounding thing because it can represent myriad different objects and convert anything into almost anything else. However, before the modern era this ability was limited. In most cases, money could represent and convert only things that actually existed in the present. This imposed a severe limitation on growth, since it made it very hard to finance new enterprises.

Consider our bakery again. Could McDoughnut get it built if money could represent only tangible objects? No. In the present, she has a lot of dreams, but no tangible resources. The only way she could get her bakery built would be to find a contractor willing to work today and receive payment in a few years' time, if and when the bakery starts making money. Alas, such contractors are a rare breed. So our entrepreneur is in a bind. Without a bakery, she can't bake cakes. Without cakes, she can't make money. Without money, she can't hire a contractor. Without a contractor, she has no bakery.